

Financial planning in 9 steps

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Step 1. Set financial goals

Financial goals make saving feel intentional and guide any good financial plan. Approach your financial planning from the standpoint of what your money can do for you, whether that's buying a house or helping you retire early.

Reducing credit card or other high-interest debt is another common medium-term plan.

Make your financial goals inspirational. Ask yourself:

- What do I want my life to look like in five years?
- What about in 10 or 20 years?
- Do I want to own a car or a house?
- Do I want to be debt-free? Pay off my student loans?
- Are kids in the picture?
- How do I imagine my life in retirement?

Having concrete goals can help you identify and complete the next steps and provide a guiding light as you work to make those aims a reality.

» **MORE:** [Learn more about setting financial goals](#)

Step 2. Track your money

Get a sense of your monthly cash flow — what's coming in and what's going out. An accurate picture is key to creating a financial plan and can reveal ways to direct more to savings or debt pay-down. Seeing where your money goes can help you develop immediate, medium-term and long-term plans.

For example, developing a budget is a typical immediate plan. NerdWallet recommends the [50/30/20 budget](#) principle.

- 50% of your take-home pay goes toward needs. That could include housing, utilities, transportation and other recurring payments.
- 30% goes toward wants like dining out, clothing and entertainment.
- 20% goes toward savings and debt repayment.

» **MORE:** [A step-by-step guide to budgeting](#)

Step 3. Budget for emergencies

The bedrock of any financial plan is putting cash away for emergency expenses. You can start small — \$500 is enough to cover small emergencies and repairs so that an unexpected bill doesn't run up credit card debt. Your next goal could be \$1,000, then one month's basic living expenses, and so on. Building credit is another way to shockproof your budget. Good credit gives you options when you need them, like the ability to get a decent rate on a car loan. It can also boost your budget by getting you cheaper rates on insurance and letting you skip utility deposits.

» **MORE:** [Use our emergency fund calculator](#)

Step 4. Tackle high-interest debt

Pay down high-interest debt, such as credit card balances, payday loans, title loans and rent-to-own payments. Interest rates on some of these may be so high that you end up repaying two or three times what you borrowed.

If you're struggling with revolving debt, a debt consolidation loan or debt management plan may help you wrap several expenses into one monthly bill at a lower interest rate.

» **MORE:** [Learn tools and tips for paying off debt](#)

Step 5. Plan for retirement

If you have one, take advantage of an employer-sponsored retirement plan like a 401(k), especially if it offers an employer match. True, 401(k) contributions decrease your take-home pay now, but it's worth it to consider putting in enough to get the full matching amount. That match is free money.

- If you have a [401\(k\)](#), [403\(b\)](#) or similar plan, financial advisors also generally suggest that you gradually expand your contributions toward the IRS limit: \$23,500 in 2025. People aged 50 and older can contribute an extra \$7,500 as a catch-up contribution. Due to the Secure 2.0 Act, those aged 60, 61, 62 and 63 get a higher catch-up contribution of \$11,250. In 2026, the contribution limit is \$24,500, with a catch-up contribution of \$8,000. Those aged 60, 61, 62, and 63 will have the same higher-catch up contribution of \$11,250 .
- Another savings vehicle for retirement planning is an [IRA, or individual retirement account](#). These tax-advantaged investment accounts can further build retirement savings. The contribution limit is \$7,000 in 2025 (\$8,000 if aged 50 and older). For 2026, the limit is \$7,500 (\$8,600 if aged 50 and older).

» **MORE:** [Use our free retirement calculator](#)

Step 6. Optimize your tax planning

For many of us, taxes take center stage during filing season, but careful tax planning means looking beyond the Form 1040 you submit to the IRS each year.

For example, if you get a sizable refund, that may be a sign that you could get more out of your paycheck throughout the year. Learning how and when to review your [W-4](#), the form you fill out for your employer, can help you to take control of your future. Adjust your withholdings on your W-4, and you can either keep more of your paycheck or pay a smaller tax bill.

Knowing ahead of time which [tax credits and deductions](#) you might qualify for can help you spend and invest in ways that could make a difference when it comes time to file your tax return. Consider working with a good financial advisor to understand your tax opportunities and put a strategy together.

» **MORE:** [How to reduce your capital gains tax](#)

Step 7. Invest to build your future goals

Investing can be as simple as putting money in a 401(k). Financial plans use a variety of tools to invest for retirement, a house or college. A financial advisor

can help you select investments if you're unsure which ones to choose or how much to allocate to each.

» **MORE:** [How asset allocation works](#)

Step 8. Manage risk with insurance planning

Use insurance to protect your financial stability so a sudden setback doesn't derail you. There are insurance products to consider for almost every stage of life.

For example, renters insurance can provide affordable coverage for your belongings. It pays out if they are destroyed or stolen, even if you're just renting a room in an apartment. Homeowners insurance can cover your belongings and your house. Life insurance protects loved ones who depend on your income. Term life insurance, covering 10-year to 30-year periods, can be a good fit for most people's needs.

» **MORE:** [How life insurance policies work](#)

Step 9. Estate planning: Protect your financial well-being

Financial planning also means looking out for your future needs, as well as mapping things out for your loved ones. Creating a [will or trust](#) can help ensure your assets are distributed according to your wishes.

Documents such as [living wills](#) can provide your relatives with clarity.

[Prenuptial agreements](#), [powers of attorney](#), [succession plans](#) and [deed transfer](#) strategies can also help ensure assets are protected and transferred according to your wishes.

» **MORE:** [View our estate planning checklist](#)

When to make a financial plan

There's never a bad time to start financial planning, but there are a few life events that are good catalysts for making a financial plan.

- **Having children:** Part of parenthood is figuring out how to achieve a variety of short-term and long-term financial goals. You may wish to pay for childcare and eventually [college education](#). A financial plan can act as a roadmap toward these goals.

- **A sudden increase in income or assets:** A windfall, new job or major promotion may change your quality of life. A financial plan can help you avoid lifestyle creep.
- **Serious illness:** Health problems are scary in their own right. But they can also introduce new, ongoing expenses that can make it difficult to stay on track. A financial plan can help you feel more confident about your ability to meet financial goals in spite of a serious illness.
- **Retirement:** A financial plan can help you navigate life after you stop working. In particular, it can help you make your retirement savings last longer.

» **MORE:** [Calculate how long your retirement savings might last](#)

How to get financial planning help

Get personalized guidance with an advisor

A financial advisor can help if you have a complicated financial situation or need a specialist in estate planning, tax planning or insurance. Consider hiring [fee-only](#) financial advisors who are [fiduciaries](#); that can help ensure the advisor is not receiving commissions to sell you financial products and is legally required to act in your best interests rather than their own. .

Some — but not all — financial advisors have account minimums. That could be \$250,000 or more. If you want to know more about how much seeing an advisor will cost, read our [guide to financial advisor fees](#).

» **Ready to get started?** See our roundup of the [best financial advisors](#).

Portfolio management only

If you only want help picking investments, [robo-advisors](#) offer simplified, low-cost online investment management. Computer algorithms build an investment portfolio based on your goals and risk tolerance. After that, the automated service monitors and rebalances your investment mix. Because it's all digital, it may cost less than hiring a human financial advisor. However, robo-advisors typically don't provide help with any of the other areas of financial planning.